Lithium Miners Look Past Falling Prices to Expand Output; Lithium carbonate, a key battery ingredient, is down by more than 20% since early September

Hoyle, Rhiannon . Hoyle, Rhiannon.

ProQuest document link

FULL TEXT



Generate image description

Lithium miners are no strangers to volatility and plan investments based on long-term price expectations. PHOTO: olympia de maismont/Agence France-Presse/Getty Images

Lithium prices are falling again. Miners are expanding anyway.

The battery metal has been on a roller-coaster ride in recent years, as the small but fast-growing market manages mismatches in supply and demand-as well as sudden swings in sentiment.

After regaining their footing following a two-year slump, prices have dropped sharply in recent weeks. Lithium carbonate, a key battery ingredient, is down by more than 20% since early September at $15,450 a metric ton, according to Benchmark Mineral Intelligence. Spodumene concentrate, a lithium-rich raw material mined in large part in Australia, is down by nearly 40% over the same period at $1,385 a ton.

That isn't restraining miners' ambitions.

PLS Group this month approved a roughly $1.3 billion project to double production capacity at the Pilgangoora mine in Western Australia's Pilbara region.

A few weeks earlier, peer Liontown green lighted a roughly $273 million expansion of its Kathleen Valley lithium mine, also in Western Australia, while Elevra Lithium advanced plans to nearly double its own capacity in Quebec.

"The direction of travel right now is definitely toward supply expansion," said Adam Megginson, a principal analyst at Benchmark.

Lithium miners are no strangers to volatility and plan investments based on long-term price expectations. Extra production in some cases won't come for several years, and producers remain bullish on growing demand for lithium in electric vehicles and large battery systems that can help utilities store power for when it is most needed.

Higher mine production is linked to lower operating costs, theoretically making expanded operations better able to navigate market downswings.

Liontown is targeting a more than 50% increase in production capacity at Kathleen Valley, with first ore from the expansion expected from mid-2027.

"We are looking through short-term lithium price movements and investing in Kathleen Valley today, because an expanded, more efficient operation builds a more resilient Liontown through the cycle," said Chief Executive Tony Ottaviano.

The expansion plans aren't helping lithium prices, which have at the same time been hurt by concerns about demand, particularly for battery energy storage systems, or BESS.

Fears have swirled about higher-than-anticipated inventories in China, while the market has faced many bearish policies from Beijing, such as a 2% consumption tax on domestic cell sales, said Benchmark's Megginson.

Retail electric-vehicle sales also disappointed through September and October, typically strong periods for EV sales and cell production, he said.

Citi this week said investors are "unanimously bearish" on lithium in the near term.

To be sure, lithium prices are still materially higher than they were a year ago.

Yet analysts say a persistent drop could upend some miners' strategies.

"In a scenario where we see continued weak lithium prices, we believe some could re-evaluate or defer spend," UBS said Wednesday.

For now, only the highest-cost suppliers—like those selling so-called direct shipping ore that is minimally processed and costly to transport—risk needing to cut back, said Megginson.

He said that sentiment outside of China remains relatively positive, and that miners "feel this is a short-term, sentiment-led dip that is not supported by fundamentals."

PLS Chief Executive Dale Henderson said he views the recent fall as largely sentiment-driven.

PLS is upbeat on lithium use in electric vehicles and BESS, and drones, robots and heavy vehicle trucks, he said. The miner expects lithium demand will triple by 2040.

As for the Pilgangoora expansion, Henderson said he sees nothing that makes him worry about a need to slow investment.

The company expects first production from its expansion, called P2000, from mid-2029.

Miners underinvested during the downturn in recent years and new supply is needed to meet rising demand, said Henderson.

"Current price levels are still double what we saw with those lows last year," he said. "Ultimately fundamentals will prevail and that's what gives us so much confidence on the outlook and our investment decisions."

Write to Rhiannon Hoyle at rhiannon.hoyle@wsj.com
By Rhiannon Hoyle

DETAILS

Subject:	Prices; Production capacity; Lithium; Electric vehicles; Volatility
Business indexing term:	Subject: Production capacity Volatility
Location:	Australia; China; Western Australia Australia
Publication title:	Wall Street Journal (Online); New York, N.Y.
Publication year:	2026
Publication date:	Oct 30, 2026
Section:	Business / Business
Publisher:	Dow Jones & Company Inc.
Place of publication:	New York, N.Y.
Country of publication:	United States
Publication subject:	Business And Economics
e-ISSN:	25749579
Source type:	Blog, Podcast, or Website
Language of publication:	English
Document type:	News
ProQuest document ID:	3406575838
Document URL:	http://libproxy.smu.edu.sg/login?url=https://www.proquest.com/blogs-podcasts-websites/lithium-miners-look-past-falling-prices-expand/docview/3406575838/se-2?accountid=28662
Copyright:	Copyright 2026 Dow Jones & Company, Inc. All Rights Reserved.
Full text availability:	This publication may be subject to restrictions within certain markets, including corporations, non-profits, government institutions, and public libraries. In those cases records will be visible to users, but not full text.
Last updated:	2026-10-30
Database:	ABI/INFORM Collection

LINKS

Find it @ SMU Libraries

Database copyright © 2026 ProQuest LLC. All rights reserved.

Terms and Conditions Contact ProQuest